Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, data.engineering@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za
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The model may be learning from events that happen after prediction

Hi team,

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date.

We looked at a version of this before. For the March 2021 review, please show what changed and whether the earlier conclusion still holds. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

Can you test these explanations rather than choosing one at the start?
- monthly snapshots duplicate later knowledge
- status or collections fields leak future outcomes
- performance is stable after strict time-based validation

The decision is whether the model can enter validation or must return to feature engineering. Please give us a working Excel file with the exception population and clear columns.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thanks